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MAKERERE UNIVERSITY BUSINESS SCHOOL
FINAL EXAMINATION FOR THE DEGREE OF
BACHELOR OF INTERNATIONAL BUSINESS (BIB), BACHELOR OF BUSINESS
COMPUTING (BBC), BACHELOR OF LEADERSHIP AND GOVERNANCE (BLG),
BACHELOR OF TRANSPORT AND LOGISTIC MANAGEMENT (BTLM),
BACHELOR OF MARKETING (BKE) AND BACHELOR OF OFFICE AND
INFORMATION MANAGEMENT (BOIM) OF MAKERERE UNIVERSITY.

ACADEMIC YEAR 2024/2025.

COURSE NAME: PRINCIPLES OF ACCOUNTING

COURSE CODE: ACC1103

SEMESTER: ONE

YEAR OF STUDY: ONE

DATE: FRIDAY, 29TH NOVEMBER, 2024.

TIME: 2:00 PM -5:00PM.

INSTRUCTIONS:

1. Time allowed is three hours.
2. Attempt question one (Compulsory question) and any other four questions of your choice and all questions carry a total of 20 Marks.
3. Attempt five questions in total.
4. Write all your answers onto the answer booklet provided.
5. Read other instructions on the answer booklet provided.

Question One. (Compulsory question)

- 1) Which of the following error can be detected by the trial balance.
A. Error of commission. B. Error of principle.
C. Single entry error. D. Error of omission.
- 2) Which of the following is the correct sequence in the accounting cycle.
A. Trial balance – final accounts –ledgers-journals- documents
B. Documentation- journals –trial balance- ledgers – final accounts.
C. Journals – documentation – trial balance – adjustments –final accounts.
D. Documentation- journals – ledgers –trial balance – final accounts.
- 3).....are methods used in applying the accounting concepts to arrive at amounts to be included in the financial statements.
A. Accounting policies B. Accounting concepts.

C. Accounting bases. D. Accounting standards

4. What is the odd man out.

- A. Trade creditors. B. Employees. C. Customers. D. Shareholders.

5. A trial balance shows a list of balances in the books of accounts.

- A. False B. True

6. serves both as ledger and a journal.

- A. General journal B. Cash book C. Sales daybook D. Purchases day book.

7. Which of the following statement is correct?

- A. Assets – Capital = Liabilities
B. Liabilities + Capital = Assets.
C. Liabilities + Assets = Capital.
D. Assets – Liabilities = Capital.

8. What accounting concept ensures comparability of financial statements is attained.

- A. Going concern B. Periodicity C. Conservatism D. Consistency

9. shows a decrease in claim of money.

- A. Debit note. B. Credit note. C. Invoice D. Statement of account

10. Which of the following items appear on the bank statement before being entered in the cash book.

- A. Dishonored cheques. C. Bank charges.
B. Unpresented cheques. D. Uncredited cheques.

11) Outstanding income is shown as in the statement of financial position.

- A. A liability B. Income payable. C. Owner's equity D. An asset.

12) Which accounting concept requires that profits are not recognised until a sale has been completed.

- A. Matching B. Business entity C. Prudence D. Consistency

13) In times of inflation, what effect does the historical cost concept have on the company's asset values and profit?

$$\begin{array}{c|c} \text{Dr} \uparrow & \text{Cr} \downarrow \\ \hline \text{As} & \text{Li} \\ \text{Eq} \downarrow & \uparrow \\ \hline \text{P} & \end{array}$$

- A. Both assets value and profit are overstated.
 B. Both assets value and profit are understated.
 C. Assets values are understated and profit is overstated.
 D. Assets values are overstated and profit is understated.
- 14) Which error occurs when transactions are posted to wrong class of accounts.
 A. Error of commission.
 B. Error of original entry.
 C. Compensating error.
 D. Error of principle.
- 15)are authoritative statements issued by professional accounting body containing rules to be followed when accounting for transactions to be included in financial statements.
 A. Accounting concepts.
 B. Accounting policies
 C. Accounting standards.
 D. Accounting bases.
- 16) Which of these accounts is correct.
 A. A debit increases a capital account.
 B. A debit increases a revenue account.
 C. A debit increases an expenses account.
 D. A debit increases a creditor account.
- 17) What is the impact on the accounting equation when there's collections from accounts receivables.
 A. Both sides decreases
 B. Both sides increases
 C. Only the asset side changes
 D. Only the cash increases
- 18) The main aim of accounting is to:
 A. Maintain accounts for every asset and liabilities.
 B. Prepare financial statements.
 C. Record every financial transaction individually.
 D. Provide financial information to users.
- 19) The following transactions were extracted from cash and bank records of Mako Ltd as at 31st December 2022; Cashbook balance of Ugx.23,000,000, Direct debits Ugx.11,000,000, Direct credits Ugx.7,000,000. A cheque paid to Mark of Ugx.3,000,000 was dishonoured by the bank and returned. From the data given, determine the adjusted cash book balance as at 31st December 2022.

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$$\begin{array}{r} 23,000,000 \\ 11,000,000 \\ \hline 30,000,000 \\ 7,000,000 \\ \hline 37,000,000 \\ 3,000,000 \\ \hline 34,000,000 \end{array}$$

A. Ugx. 20,000,000

B. Ugx. 30,000,000

C. Ugx. 26,000,000

D. Ugx. 22,000,000

20) When Joseph writes a cheque of Ugx. 5,000, 000 and sends it to Alpha (the supplier) then Alpha is referred to as;

A. The Drawer

B. The Drawee

C. The Banker

D. The Payee

(Each question carries 1 Mark *20= 20 marks)

(Total = 20 Marks)

Question Two. ✓

a) Explain the relevancy of bank reconciliation to any business setting that deals in both cash and bank transactions. (3marks)

b) Below is BEKO LTD cash book and bank statement for the period ended 30th June 2023.

Date	Particulars	Debits (Ugx)	Credits (Ugx)	Balances (Ugx)
1	Bal b/d			110,000
5	Chq No. 310 ✓		60,000	170,000
8	Chq No. 312 ✓	32,000		138,000
10	Chq No. 314 ✓	40,000		98,000
13	Chq No. 345 ✓	30,000		68,000
14	Chq No. 315 CBE	24,000		44,000
16	Chq No. 320 ✓		10,000	54,000
18	Chq No. 347 CBE	14,000		40,000
20	Credit Memo		18,000	58,000
25	S.O UMEME	2,000		56,000
26	Credit Memo		16,000	72,000
30	Bank charges	200		71,800

Cash Book (bank column)					
Dr.			Cr.		
Date	Particulars	Ugx	Date	Particulars	Ugx
1	Bal b/d	110,000	7	Chq No. 312 ✓	32,000
2	Chq No. 310 ✓	60,000	8	Chq No. 314 ✓	40,000
10	Chq No. 315 CBE	24,000	11	Chq No. 345 ✓	3,000
14	Chq No. 320 ✓	1,000			
16	Chq No. 350 Ug	4,000	28	Chq No. 370 D	6,000
28	Chq No. 351 UC	34,000	28	Chq No. 371 UP	6,000
30	Chq No. 353 UC	13,000	30	Chq No. 373 UP	2,000
30	Chq No. 360 UC	6,000	30	Chq No. 374 UP	3,000
17	Chq No. 347 CBE	14,000	30	Chq No. 375 UP	4,000

adjusted

		30	Bal c/d	170,000
	266,000			266,000

Additional information;

- The bank dishonored cheque No. 370 written on 28/06/2023 and cheque No. 350 the one received and banked on 16/06/2023.
 - Any other error if found is deemed to have occurred in the cash book.
- Required: Prepare BEKO Ltd bank reconciliation statement for the month ended 30/06/2023.

Question Three. ✓

(17 marks)
(Total = 20 Marks)

The following trial balance was extracted from the books of BUNI Ltd for the year ended 31 December 2023:

Particulars	Dr (Shs)	Cr (Shs)
✓ Carriage outwards	13,000	
✓ Capital		304,000
✓ Retained earnings		124,500
✓ Accumulated depreciation:		
Machinery		16,000
Fixtures		5,000
Computers		1,500
✓ Trade Receivables / Trade payables	40,000	15,000
✓ Cash	230,000	
✓ Inventory, 31 Dec 2022	30,000	
✓ Insurance	34,000	
✓ Bank loan		10,000
✓ Purchases/ Sales	232,000	572,000
✓ Returns inwards/ Returns outwards	12,000	4,000
✓ Stationery	40,000	
✓ Interest received		12,000
✓ Advertising expenses	39,000	
✓ Carriage inwards	32,000	
✓ Bank		10,000
✓ Bad debts	10,000	
✓ Commission received		18,000
✓ Discounts allowed /Discount received	6,000	1,000
✓ Machinery at cost	129,000	
✓ Fixtures at cost	161,000	
✓ Computers at cost	85,000	
TOTALS	1,093,000	1,093,000

allow

received

Additional information:

1. Closing inventory Shs 25,000.
2. Depreciation is to be provided, per annum as follows:
Machinery 15% straight line method.
Fixtures 9.5% straight line method.
Computers 5% reducing balance method.
3. Provision for bad debts is 5% on debtors.
4. Prepaid Advertising is Ugx 3,500.
5. Stationery outstanding amounted to Ugx 3,000.

Required: Prepare BUNI Ltd's statement of:

- (a) Income statement for the year ended 31 Dec 2022 (10 Marks)
- (b) Statement of financial position as at 31 Dec 2022. (10 Marks)

(Total = 20 Marks)

Question Four ✓

- a) Financial Accounting is a process of recording and classifying financial transactions in the books, summarizing and communicating financial information through production of financial reports to facilitate decision-making. As a student who has been introduced to principles of accounting; (10 Marks)
- a) Explain the reasons why you think accounting is important to any business or organisation set up of your choice. (10 Marks)
- b) Discuss the different branches of accounting. (10 marks)

(Total = 20 Marks)

Question Five

- a) Discuss the difference between profit making and non-profit making organisations and state any three sources of funds for non-profit making organisations. (6 Marks and 3 Marks respectively)
- b) Subscriptions income received during the year amounted to Ugx. 1,000,000 cash. However, the following is also available;

	31.12.2023 (Ugx)	1.1.2023 (Ugx)
Subscription prepaid	350,000	400,000
Subscription outstanding	550,000	250,000

Required; Determine the subscription to be taken to the income and expenditure account for the year ended 31st December 2023. (6 Marks)

c) Explain why cheques may be dishonored by the bank. (5 Marks)

(Total = 20 Marks)

Question Six.

Tango manufacturer had the following balances extracted from its ledgers on 31st March 2023.

Details	Ugx
Revenue	3,200,000
Factory machinery at cost	640,000
Accumulated depreciation for factory machinery	280,000
Purchases of raw materials	450,000
Direct wages	400,000
Royalty costs	60,000
Carriage inwards	10,000
Rent	40,000
Purchases returns	18,000
Electricity	30,000
Indirect Factory wages and salaries	78,000
Insurance	50,000
Office salaries	70,000
Factory cleaning	50,000
Office cleaning	56,000
Discount received	5,000

Additional information;

a) The stock records disclosed the following balances

	1/4/2022	31/3/2023
Raw materials	Ugx. 110,000	Ugx. 140,000
Work in progress	Ugx. 55,000	Ugx. 75,000
Finished Goods	Ugx. 80,000	Ugx. 170,000

b) Rent prepaid during the year amounted to Ugx 5,000 and accrued electricity amounted to Ugx. 15,000.

c) Depreciation on factory machinery is to be provided at 25% per annum reducing balance.

d) Rent, electricity and insurance is to be apportioned on the basis of 4/5 to factory and 1/5 to office.

Required:

Prepare the Company's manufacturing and trading account for the year ended 31st March 2023 finished good are transferred to trading account at cost.

(Total = 20 Marks)

Question Seven.

Write short notes on the following;

- a) Capital and revenue expenditure. (4 marks)
- b) Assets and liabilities. (4 marks)
- c) Prime costs and overhead costs. (4marks)
- d) Matching concept and business entity concept. (4 marks)
- e) The uses of a general journal. (4 marks)

(Total = 20 Marks)

END OF EXAMINATION PAPER AND SUCCESS.

BTC 95,470
GBP/USD 1.26800 ✓
USD JPY ↓ 151.000
EUR USD ↑ 1.05630

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